

MR. Status Quo: “Yeah, whatever.”

Us: “But I could reduce taxes and enhance long-run returns!”

Mr. Status Quo: “Yeah, whatever.”

Us: “But I could finally understand my investment strategy!”

Mr. Status Quo: “Yeah, whatever.”

Since Mr. Status Quo is so easy to get along with, one can see how inertia could make for a very compelling strategy in many cases.

Relationships Matter

“Relationships take up energy; letting go of them, psychiatrists theorize, entails mental work.”

—Meghan O'Rourke

We've had an advisor for a while—maybe a long while—5 years, 10 years, or perhaps 20+ years. At this point, our advisor is a friend, and breaking up with friends is hard to do. But we must ask ourselves the following question: “How much is this friendship worth?” If an advisor is charging a 1 percent fee for the rest of our life, that is arguably equivalent to giving our advisor “friend” 10 percent of our current net worth on an annuitized basis. Is the friendship worth 10 percent of our current wealth? One would think not. And yet, firing an advisor is tough! Some people don't mind having “paid friends.”

We also tend to trust our advisors like we trust our friends. And it is perhaps our oldest friends whom we trust the most. Similarly, it may be that the longer we have been working with our advisor, the more we trust him. Most investors consult with a financial advisor when making investment decisions. If someone has been doing something for a long time, then it stands to reason they must be good at it, or they wouldn't still be doing it.

Financial advisors are human. We prefer humans to machines. We can pick up the phone and speak with a human. We can speak to them about our emotions. We can talk to humans about our financial goals. We can talk to humans about our hopes and fears. We are biased to believe in and trust a